

HOUSE BILL 109

By Lamberth

AN ACT to amend Tennessee Code Annotated, Title 45,
relative to financial institutions.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 45-2-402, is amended by deleting subsection (c) and substituting instead the following:

(c) All Tennessee state-chartered banks shall obtain an annual audit of their financial statements by an independent certified public accountant at least once in each calendar year at intervals of no more than fifteen (15) months, unless the bank's financial statements are included in the audit of its holding company's consolidated financial statements. The board shall review and discuss the audit and record such in the minutes. Each bank shall provide to the commissioner a copy of the independent external audit, including any management letters, within forty-five (45) days of receiving the external audit, and shall promptly notify the commissioner when any independent public accountant is initially engaged to perform external auditing work, or when a change in, or termination of, the bank's independent accountant occurs.

SECTION 2. This act takes effect upon becoming law, the public welfare requiring it.